

Small-caps' outperformance on fundamentals can also be supported by the presence of complacent large-cap incumbents in an industry undergoing disruption or ecological changes which redefine the framework of competitive advantages for that industry. Ralph Wanger, founder of Chicago's Wanger Asset Management, in his insightful book *A Zebra in Lion Country*⁴ calls this phenomenon 'Darwinism in the Marketplace', which implies that in any environment some creatures are going to be more successful in adapting than others, and those adaptable creatures are the ones that will thrive and prosper. Ambit Capital's research shows that in India the average probability of a sector leader (defined as companies that featured in the top quartile on Ambit Capital's 'greatness framework' in their respective sectors) remaining a sector leader five years later is only 15 per cent.⁵ That implies that 85 per cent of BSE 500 companies slide towards mediocrity within five years of achieving greatness. In fact, the average probability of a 'great' company actually becoming a sector laggard five years later is 25 per cent.

In most cases, such a slide into mediocrity is caused by hubris and arrogance amongst the management and promoters of a large successful company. When a company is on top of its game with record operating profits and dizzy valuation multiples, success and adulation intoxicates the top brass. Arrogance sets in and the company loses sight of the factors which made it successful in the first place.

On the other hand, owners and managers of small companies (often they are the same person) are hungry to grow, hungry to achieve greatness and all the perks which come with it. They tend to be intensely driven and, unlike large companies, do NOT have to go through layers of management hierarchy in order to respond to changes in the business environment. This helps smaller companies consistently grow profits faster than larger companies.

Small-cap companies get 'discovered': More often than not, small-cap firms suffer from neglect because they are not in the news and are not covered by the major brokerage houses. Consequently, investors are simply not aware of what is happening in these companies. Brokerages which